But even if the ordinary investment problems of most investors could be thus simply disposed of, many investors would remain who must consider other types of fixed-value investment. These include: (1) institutional investors of all kinds, *e.g.*, savings and commercial banks, insurance companies, educational and philanthropic agencies; (2) other large investors, *e.g.*, corporations and wealthy individuals; (3) those with moderate income derived wholly from investments, since the maximum annual return ultimately obtainable from United States Savings Bonds is limited to $2,500 per annum.[1] It is true also that many smaller investors will for one reason or another prefer to place part of their funds in other types of fixed-value investment.

The second alternative, *viz.*, to speculate instead of investing, is entirely too dangerous for the typical person who is building up his capital out of savings or business profits. The disadvantages of ignorance, of human greed, of mob psychology, of trading costs, of weighting of the dice by insiders and manipulators,[2] will in the aggregate far overbalance the purely theoretical superiority of speculation in that it offers profit possibilities in return for the assumption of risk. We have, it is true, repeatedly argued against the acceptance of an admitted risk to principal without the presence of a compensating chance for profit. In so doing, however, we have not advocated speculation in place of investment but only intelligent speculation in preference to obviously unsound and ill-advised forms of investment. We are convinced that the public generally will derive far better results from fixed-value investments, if selected with exceeding care, than from speculative operations, even though these may be aided by considerable education in financial matters. It may well be that the results of investment will prove disappointing; but if so, the results of speculation would have been disastrous.

The third alternative—to look for investment merit combined with an opportunity for profit—presents, we believe, a suitable field for the talents of the securities analyst. But it is a dangerous objective to hold before the untrained investor. He can readily be persuaded that safety

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[1] This is based on the maximum $7,500 permitted each year to one individual. After the tenth year of continued investment, an annual income of $2,500 would accrue via the maturity of a $10,000 unit each year and its replacement by a new $7,500 subscription.

[2] This factor has been greatly reduced by the operation of the Securities Exchange Act of 1934.